Gary L. Arbogast PhD, CFA, Richard V. Eastin PhD, Fritz Richard PhD and Gambera Michele PhD, CFA

Gary L. Arbogast, PhD, CFA (USA). Richard V. Eastin, PhD, is at the University of Southern California (USA). Richard Fritz, PhD, is at the School of Economics at Georgia Institute of Technology (USA). Michele Gambera, PhD, CFA, is at UBS Asset Management and the University of Illinois at Urbana-Champaign (USA).

THE FIRM AND MARKET STRUCTURES

LEARNING OUTCOMES

The candidate should be able to:

- determine and interpret breakeven and shutdown points of production, as well as how economies and diseconomies of scale affect costs under perfect and imperfect competition
- describe characteristics of perfect competition, monopolistic competition, oligopoly, and pure monopoly
- explain supply and demand relationships under monopolistic competition, including the optimal price and output for firms as well as pricing strategy
- explain supply and demand relationships under oligopoly, including the optimal price and output for firms as well as pricing strategy
- identify the type of market structure within which a firm operates and describe the use and limitations of concentration measures

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